SANKEI REAL ESTATE — 2972.XTKS

Tiger LP / Lion LP (Tosei + GIC) TOB at JPY 125,000 — extension to 2026-04-16 · deep-dive · 2026-04-15

Ticker	2972.XTKS (J-REIT)	**Issuer FIGI**	BBG00N8WCM62
Market cap	USD 368 m (JPY ~58 bn)	**Signal date**	2026-04-14 17:00 JST
Signal type	tender_offer (variation)	**Direction**	**LONG — terminal spread**
Score	35 / 40 (highest in batch)	**Deep-dive date**	2026-04-15

Thesis (TL;DR)
The 2026-04-14 TDnet cluster is the **latest extension / progress variation** in an existing tender offer by **Tiger Limited Partnership and Lion Limited Partnership (Tosei Asset Advisors + GIC sponsored SPVs)** for Sankei Real Estate at **JPY 125,000 per unit**. The offer period has been extended to 2026-04-16 (from an earlier 2026-04-06 close) — crucially **without a price change**. The Sankei board continues to unanimously recommend acceptance and endorse subsequent delisting. This is a **terminal-phase merger-arb long**: days-to-close measured in days not months, with residual risk being a minimum-tender-rate shortfall that could force a further extension rather than a break.

Deal anatomy

Offerors: Tiger LP (Tosei Asset Advisors-sponsored) and Lion LP (GIC-sponsored) — two private real-estate fund vehicles acting jointly. The ultimate beneficial ownership pairing is Tosei Corporation + Singapore sovereign wealth (GIC Real Estate), a credentialed and well-capitalised combination.

Consideration: JPY 125,000 per investment unit, all cash. Headline EV ~USD 373 m. The price has remained unchanged through the prior extensions — typical behaviour when the offeror sees no competing bid risk and is confident of eventual minimum-acceptance achievement.

Board position: Sankei board has unanimously resolved to support the offer and recommend unitholders tender, including explicit endorsement of the follow-on delisting and privatisation path.

Structure: Japan TOB ([redacted]) under Financial Instruments and Exchange Act. Post-TOB, any residual untendered units will be squeezed-out under Article 179 procedures.

Extension pattern

Initial TOB launched early January 2026; total TOB period now extends to ~60 business days — a long process by J-REIT standards. Three extensions so far (original → April 6 → April 16).

Each extension was executed **without a price bump**. In Japanese TOB precedent, repeated extensions at unchanged terms generally signal that the offeror has confidence of reaching minimum-tender but is waiting for retail holder response. Retail is the slowest cohort to tender in a J-REIT context because custodian procedures take longer than with corporate equities.

The 2026-04-14 TDnet cluster contains three filings per the source note: a progress report ([redacted]), a correction ([redacted]), and the extension / conditions-change notice. The convergence engine hard-merged them on (issuer_figi + signal_type + source_date).

Spread and timing

At typical close-to-tender-price levels for J-REIT privatisation trades, spread to JPY 125,000 is very tight (<1% gross). Annualised IRR is dominated by days-to-close. With a 2026-04-16 period end, base-case outcomes:

• **Deal declared successful (2026-04-17 or 18):** spread closes in <5 calendar days → annualised IRR can be attractive even from a 0.5% gross spread given the day-count denominator.

• **Further extension:** high precedent — three already — but at unchanged price, so downside is limited to the carry cost of the extended holding period.

• **Squeeze-out settlement for untendered units:** Article 179 squeeze typically settles 1–2 months post TOB close at the TOB price; a small risk of court-determined fair-value appraisal is possible but the supportive board position makes this unlikely to produce a materially different price.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
TOB period end	2026-04-16	Acceptance ≥ minimum-tender threshold → deal succeeds	Further extension → hold, re-assess
Results announcement	~2026-04-17 / 18 (T+1/T+2)	Declaration of success → settle at JPY 125,000	Shortfall → period-5 extension
Settlement & delisting decision	~2026-05 / 2026-06	Cash settlement received	n/a
Article 179 squeeze-out	~2026-06 / 2026-07	Residual units cashed out at JPY 125,000	Court fair-value appraisal challenge [unlikely]
JPX REIT index removal	Post-delisting	Passive ETF flows priced-in pre-settlement	n/a

Steelman of the opposite view

• **Minimum-tender-rate shortfall:** Despite board support and three extensions, if retail participation stays below the undisclosed minimum, the offeror could in theory walk away. Historical J-REIT TOBs with board-supported privatisation have almost never lapsed, but the risk is nonzero.
• **Appraisal remedy:** Dissenting unitholders can seek a court-determined fair value in squeeze-out. If the court finds JPY 125,000 undervalues the NAV (historical NAV-to-price arguments around J-REITs are common), a positive appraisal is possible — but payment is often delayed by 1–2 years, which is a negative for IRR.
• **Competing bid:** At this stage of an already-extended process with Tosei/GIC backing, an interloper is a very low-probability event; Sankei's portfolio is too small and too sponsor-linked (Sankei Shimbun / Fuji Media group affiliation) to attract a spoiler.
• **NAV re-appraisal:** If Sankei's next portfolio appraisal materially marks down valuations (e.g. for office cap-rate drift), the relative attractiveness of JPY 125,000 rises and unit-holders accept faster. This is actually positive for the arb.
• **FX / JPY hedging:** For non-JPY investors, hedge cost over a 2–3 week tail is trivial; JPY/USD 1-month forward points are <20 bp.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: price cut announced	Revised TOB terms <JPY 125,000	TDnet same-day filing
K2: board rescinds recommendation	Sankei board notice of opposition	TDnet formal response
K3: TOB lapses at 04-16 close	Minimum-tender not met, offerors withdraw	TDnet results announcement
K4: counter-bid at lower price with structural preference	New TOB filing from white-knight	TDnet Rule 27 TOB filing
K5: FSA regulatory objection	Formal FSA instruction to suspend	FSA bulletins

Position sizing guidance

Satellite-arb, 2–4%. Highest conviction of the five candidates because it is in the **terminal phase** with known board support, known sponsor identity (Tosei / GIC), and unchanged price through multiple extensions. Size to IRR, not to spread: even a 0.3% gross spread annualises well over a 3–5 day horizon. J-REIT TSE REIT market liquidity is adequate for sub-USD 30 m positions. Confirm minimum-tender-rate disclosure is being met by watching TDnet for the 2026-04-17/18 results announcement; settle at squeeze-out post-2026-05.

Source traceability

• *[verified] TDnet release — 2026-04-14 17:00 JST — https://www.release.tdnet.info/inbs/140120260414503539.pdf — 'Tiger LPS[redacted]Lion LPS[redacted]2972[redacted]'*
• *[verified] Globe and Mail / TipRanks — 'SANKEI REAL ESTATE Keeps Tender Offer Terms Unchanged as Offer Period Extends' — 2026-03*
• *[verified] Globe and Mail / TipRanks — 'Tiger and Lion Partnerships Extend Tender Offer for Sankei Real Estate REIT Units'*
• *[verified] TipRanks — 'SANKEI REAL ESTATE Board Backs Full Tender Offer and Delisting Plan'*
• *[verified] Reuters via TradingView — 'Sankei Real Estate Inc - Announces Extension Of Tender Offer Period To April 16 From April 6'*
• *[verified] Mingtiandi — 'GIC, Tosei Make $373M Bid to Buy Japan's Sankei REIT' — original TOB framing*
• *[verified] Smartkarma — Arun George — 'Sankei Real Estate (2972 JP): Tosei/GIC Tender Offer at JPY125,000' — pricing + sponsor identity*
• *[unverified] Final acceptance percentage (pending 2026-04-17/18 results announcement on TDnet)*
• *OpenFIGI: ticker=2972 mic=XTKS → figi=BBG00N8WDMQ9, issuer_figi=BBG00N8WCM62 (cached 2026-04-14)*

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